ENTREPRENEURIAL SKILLS Unit 4

ENTREPRENEUR

The word 'entrepreneur' is derived from the French word 'entrepreneur' which means to undertake. An entrepreneur is an individual who creates a new business, bearing most of the risks and enjoying most of the rewards.

A person who sets up a business or businesses, taking on financial risks in the hope of profit.
or
A promoter in the entertainment industry.
or
An entrepreneur is a person who sets up a business with the aim to make a profit.
or
Entrepreneurship is the process of designing, launching and running a new business, which is often initially a small business. The people who create these businesses are called entrepreneurs.
or
An entrepreneur is the person who sees a problem in the world and immediately focuses on creating the solution. They're the leaders that strike out on their own to improve society. Whether they're creating jobs or a new product, they constantly take action to ensure world progress.

ENTREPRENEUR SKILLS

There are many skills required to start a business. The most popular entrepreneur skills are marketing, business development, customer service, leadership, execution, resilience, focus, determination, talent acquisition, continuous learner.

ENTREPRENEURSHIP AND SOCIETY

Entrepreneurship: is about taking action to create change in the world. Entrepreneurs identify problems, connect people in new ways, or develop innovative solutions that move society forward – all driven by their initiative to act.

Entrepreneurs take the idea and execute it. Entrepreneurship is about execution of ideas.

Society: Society can be described as an aggregate of people living together in a community or basically a situation of being in the company of others. The persons that comprise a population associate for various engagements including business.

QUALITIES/CHARACTERISTICS OF A GOOD ENTREPRENEUR:

The major qualities/characteristics of a good entrepreneur are linked below:

- **Leadership**: Entrepreneurs guide teams with clear vision, communication, and support.
- **Risk-taking**: They take calculated risks with planning and backup strategies.
- **Innovativeness**: They use creative ideas to meet changing customer needs and combine different

innovations.

- **Goal-oriented**: They focus on clear targets to achieve maximum results.
- **Decision-maker**: They choose the best and most profitable options for their business.
- **Highly optimistic**: They stay positive and hopeful despite current challenges.
- **Motivator**: They encourage teamwork and inspire employees to perform well.
- **Self-confident**: They believe in their ability to achieve goals and influence others.
- **Action-oriented**: They focus on planning and taking practical steps.
- **Dynamic agent**: They create new opportunities and develop fresh ideas.
- **High achiever**: They have strong motivation to succeed and accomplish goals.
- **Trust in self**: They rely on their own decisions and effort rather than luck.

ENTREPRENEURSHIP AND ECONOMY

Entrepreneurship significantly contributes to a country's economic growth and living standards. While entrepreneurs build businesses for personal success, they also benefit society by creating jobs, operating wealth and supporting overall economic development through innovation and leadership.

The role and significance of an entrepreneur are given under the following headings:

- **Leadership**: Entrepreneurs guide teams with clear vision, communication, and support.
- **Risk-taking**: They take calculated risks with planning and backup strategies.
- **Innovativeness**: They use creative ideas to meet changing customer needs and combine different innovations.
- **Goal-oriented**: They focus on clear targets to achieve maximum results.
- **Decision-maker**: They choose the best and most profitable options for their business.
- **Highly optimistic**: They stay positive and hopeful despite current challenges.
- **Motivator**: They encourage teamwork and inspire employees to perform well.
- **Self-confident**: They believe in their ability to achieve goals and influence others.
- **Action-oriented**: They focus on planning and taking practical steps.
- **Dynamic agent**: They create new opportunities and develop fresh ideas.
- **High achiever**: They have strong motivation to succeed and accomplish goals.
- **Trust in self**: They rely on their own decisions and effort rather than luck.

MYTHS OF ENTREPRENEURSHIP

Entrepreneurship is a set of activities performed by the entrepreneur. It is the process of identifying opportunities in the market place. It is the attempt to create value. Many entrepreneurs believe a set of myths about entrepreneurship and the most common are as follows

- **Starting a Business is Easy:** In reality, it is a very difficult and challenging process to start a successful business. The rate of failure of new ventures is very high but small entrepreneurship are comparatively easier to start.
- **Lot of Money to Finance New Business:** Successful entrepreneurs design their business with little cash also.
- **Startups cannot be Financed:** Under the schemes like MUDRA, entrepreneurs can raise loans from banks.
- **Talent is more Important than Industry:** This is not true as the nature of industry an entrepreneur chooses greatly effects the success and growth of the business.
- **Most Startups are Successful:** Mostly in the developing countries startups fail as they could not manage to earn high profits.

ADVANTAGES OF ENTREPRENEURSHIP

The main advantages of adopting entrepreneurship as a career are discussed below:

Independence: An entrepreneur is himself a boss or owner and he can take all the decisions independently.

- **Exciting:** Entrepreneurship can be very exciting with many entrepreneurs considering their ventures highly enjoyable. Every day will be filled with new opportunities to challenge your determination, skills and abilities.

- **Wealth Creation:** The principal focus of entrepreneurship is wealth creation and improved livelihood by means of making available goods and services. Entrepreneurial venture generates new wealth, new and improved products, services or technology form entrepreneurs, enable new markets to be developed and new wealth to be created.

- **Flexibility:** As an entrepreneur you can schedule your work hours around other commitments, including quality time you would spend with your family.

- **Status:** Success in entrepreneurship beings a considerable fame and prestige within the society.

- **Ambition Fulfilment:** Through entrepreneurship one can fulfil his ambitions into original products or services.

DISADVANTAGES OF ENTREPRENEURSHIP

Some of the disadvantages of entrepreneurship as a career are discussed below:

- **Huge Amount of Time**: You have to dedicate a huge amount of time to your own business. Entrepreneurship is not easy and for it to be successful, you have to take a level of time commitment.
- **Risk:** An entrepreneurship involves high risk of loss. If the business fails then it will wipe away all the personal savings.
- **Hard Work:** An entrepreneur has to work very hard to make the new business very successful.
- **Uncertain Income:** There is no regular or fixed income available to an entrepreneur. So, there is uncertain kind of income received by an entrepreneur.
- **Incompetent Staff:** A new entrepreneur may not be able to hire qualified and experienced staff so there are chances of incompetency by the staff due to lack of experience and knowledge.

ENTREPRENEURSHIP AS A CAREER OPTION

A career is a line of work that a person takes for life. There are two ways a person can earn a living. They are:

1. Self-employment
2. Wage employment

For example, a doctor who works for a hospital is a wage employed person. If the same doctor has their own clinic, he or she is a self-employed person.

- A self-employed person running a business to satisfy a need by trying new ideas is an entrepreneur.
- A person who becomes an entrepreneur goes through a career process. This process is as follows:

ENTER	SURVIVE	GROW
When an entrepreneur is starting, they are just entering the market to do business.	There are many entrepreneurs in the market. The entrepreneur has to remain in a competitive market.	Once the business is stable, an entrepreneur thinks about expanding his or her business.
For example, Sanjana is starting a small grocery store in a locality.	For example, there are many other grocery stores in the area. Yet, Sanjana's store survives the competition and does well. She also expands the store to two more floors.	For example, after five years, Sanjana has opened a chain of four more grocery stores in the same city. In the next two years, she plans to expand to tow other cities.